NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT-II)

COMPANY PETITION NO. (CAA)-49(ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. (CAA)-113(ND)/2021

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

JAINCO AQUA SOLUTIONS PVT. LTD ...Petitioner No. 1/ Transferor Company No. 1

AND

RALLIS COMMERCIAL PVT. LTD. ... Petitioner No. 2/ Transferor Company No. 2

AND

SAMRITI BUILDERS AND DEVELOPERS PVT. LTD. ... Petitioner No. 3/ Transferor Company No. 3

AND

SAR GEMS AND JEWELS PRIVATE LIMITED ... Petitioner No. 4/ Transferor Company No. 4

AND

HAZOORILAL JEWELLERS PVT. LTD. ... Petitioner No. 5/ Transferee Company

WITH

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 31.01.2024

Under Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)
SH. SUBRATA KUMAR DASH, HON'BLE MEMBER (T)

PRESENT

For the Petitioners : Adv Saurabh Kalia and Adv. Sarvik Singhai
For the RD : Adv. Shankari Mishra
For the OL : Ad. Hemalata Rawat and Adv. Raul Bhatt

ORDER

The present petition has been preferred by the Petitioner Companies under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. M/s Jainco Aqua Solutions Pvt. Ltd (hereinafter referred to as "the Petitioner No.1/Transferor Company") having CIN Ul5543DL2005PTC133278 is a company incorporated on 23.02.2005 under the Companies Act, 1956. The registered office of the Company is situated at M 46, Rear Portion, M Block Market Greater Kailash -1, New Delhi-110048.

3. Rallis Commerical Private Limited. (hereinafter referred to as the "Petitioner No. 2/Transferor Company") having CIN U67120DL1996PTC 266838 is a Company incorporated under the provisions of the Companies Act, 2013 on 17.07.1996. The Company is having its registered office at M-46, M Block Market Greater Kailash -1, New Delhi-110048.

4. Samriti Builders and Developers Pvt. Ltd. (hereinafter referred to as the "Petitioner No. 3/Transferor Company") having CIN U45201DL1999PTC 102997 is a Company incorporated under the provisions of the Companies

Act, 1956, on 28.12.1999. The Company is having its registered office at M-46, M Block Market Greater Kailash -1, New Delhi-110048

5. Sar Gems and Jewels Pvt. Ltd. (hereinafter referred to as the "Petitioner No. 4/Transferor Company") having CIN U36911 DL2004PTC 131378 is a Company incorporated under the provisions of the Companies Act, 1956, on 17.12.2004. The Company is having its registered office at M-46, M Block Market Greater Kailash -1, New Delhi-110048

6. Hazoorilal Jewellers Private Limited (hereinafter referred to as the "Petitioner No. 5/Transferee Company") having CIN U74140DL20 14PTC266790 is a Company incorporated under the provisions of the Companies Act, 1956 on 24.03.2014. The Company is having its registered office at 44, M Block Market Greater Kailash -I, New Delhi-1 I 0048.

7. The present Petition has been filed by the Transferor Companies and Transferee Company. Hereinafter, all the 'Transferor' and 'Transferee' Companies together are called 'Petitioner Companies'. The Registered offices of all the Companies being in Delhi, the jurisdiction lies with this Bench.

8. As can be seen from the record, the First Motion petition was filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors qua all the Companies. This Tribunal in the First Motion Application bearing No. CO. APPL. (CAA)113/ND/2021, passed order dated 31.01.2022 dispensing

with the requirement of convening the meetings of the equity shareholders and Creditors.

9. The Appointed date qua the scheme as per clause 1.2 (b) thereof is 01.04.2020.

10. Subsequently, the present Second Motion petition was moved by the Petitioner Companies in qua the scheme of Amalgamation, for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator as also to other Objector(s) as well as for publication of the Scheme. Directions were issued, in terms of the Order dated 06.06.2022 passed by this Tribunal, requiring the Petitioner Companies to carry out necessary publication with regard to the Scheme in Business Standard" (English) and (Hindi) Edition newspapers.

11. It is submitted by the Petitioner Companies that in compliance of the above stated directions, the Petitioner Companies filed Affidavit of Service confirming that the aforesaid Notices qua the present Company Petition were published in the "Business Standard" (English) and (Hindi) on 14.06.2022

12. Accordingly, the RD filed his report dated 21.03.2023. Initially, he raised certain objections qua approval of the scheme. In response to the report of the RD the Petitioner Companies filed their reply dated 15.05.2023.

13. In response thereof the RD filed his final report dated 07.06.2023, wherein he stated that his earlier objections raised qua the Petitioner Companies be removed.

14. The OL also filed his report dated 20.12.2022 and did not raise any objection towards the approval of Scheme. The relevant excerpts of the OL report read thus:

> *"17. That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 2013."*

15. The Income Tax Department has not filed its report, despite opportunities. Therefore, it is presumed that it has nothing to say in the matter.

16. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors qua the Petitioner Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Official Liquidator, Regional Director (North), Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. Accordingly**, sanction is hereby accorded to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (Petitioner Companies) and

their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

17. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

18. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

19. **THIS TRIBUNAL FURTHER DIRECTS** with respect to the Petitioner Companies, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 01.04.2020, all the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) That all the property, rights and powers of the Transferor Companies be transferred, without further act or deed, to the Transferee

Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Companies but subject nevertheless to all charges now affecting the same; and

(iii) That all the liabilities and duties of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

(iv) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to include under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(v) All contracts of the Transferor Companies which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(vi) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to

the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(vii) That the proceedings, if any, now pending by or against the Transferor Companies be continued by or against the Transferee Company;

(viii) That the Transferee Company shall, without further application, allot to the existing members of the Transferor Companies shares of Transferee Company to which they are entitled under the said Scheme;

(ix) That as per the Section 232(3)(i), the fee, if any, paid by the Transferor Companies on their authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to the sanction of the 'Scheme';

(x) That the carry forward and set off of accumulated losses in the Petitioner Company, if any, shall be subject to applicable provisions of Income Tax including Section 72A and Section 79 of the Income Tax Act, 1961;

(xi) That the assessment under the Income Tax Act, if any will be in accordance with the provisions of Section 170 (2A) of the Income Tax Act, 1961;

(xii) That the Transferee Company shall file the revised memorandum and articles of association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for

the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

(xiii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

20. The Petitioner Companies shall within thirty days of the date of the receipt of this Order or on sanction of the Scheme with respect to Transferee Company, whichever is later, cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to both the Petitioner Companies shall be consolidated accordingly.

21. **The Company Petition is disposed of in the aforesaid terms**.

Sd/-
(SUBRATA KUMAR DASH)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)